

Simple & Exponential Moving Averages Strategy Guide

Overview

Moving Averages smooth out price data to identify the direction of the trend. Key periods include 20 SMA (short-term trend), 50 SMA (medium-term trend), and 200 SMA (long-term trend).

Crossover Signals

- **Golden Cross (Strong Bullish):** 50 SMA crosses ABOVE 200 SMA. Indicates macro uptrend continuation.
- **Death Cross (Strong Bearish):** 50 SMA crosses BELOW 200 SMA. Indicates macro downtrend continuation.

Dynamic Support / Resistance

- In an uptrend, price frequently pulls back and bounces off the 20 SMA or 50 SMA.
- If price is trading below both the 50 SMA and 200 SMA, overall trend bias must remain Bearish or Hold.